

Financial statements

Every main financial statement, shown as a real example with each line explained.

Goldman Snacks

Summary sheet

Sole trader income statement

- Revenue less returns, then cost of sales, gives gross profit.
- Expenses include depreciation, irrecoverable debts and the change in the allowance.
- Drawings are not an expense: they reduce capital.

Sole trader statement of financial position

- $\text{Net assets} = \text{total assets} - \text{total liabilities}$.
- Must equal closing capital.
- Receivables are shown net of the allowance for doubtful debts.

Company statement of profit or loss and OCI

- $\text{Profit from operations} - \text{finance costs} = \text{profit before tax}$; less income tax = profit for the year.
- Other comprehensive income: revaluation gains that don't go through profit.
- $\text{Total comprehensive income} = \text{profit} + \text{OCI}$.

Company statement of financial position

- $\text{Equity} = \text{share capital} + \text{share premium} + \text{revaluation surplus} + \text{retained earnings}$.
- Tax payable and the current part of loans are current liabilities.
- Dividends are paid from retained earnings, not expensed.

Statement of changes in equity

- One column for each reserve, plus a total.
- Rows: opening balance, share issues, profit, OCI, dividends, transfers, closing balance.
- Excess depreciation moves from revaluation surplus to retained earnings.

Statement of cash flows

- Three sections: operating, investing and financing activities.
- $\text{Net change in cash} = \text{closing} - \text{opening cash and cash equivalents}$.
- Indirect method starts from profit before tax.

Consolidated statement of financial position

- Add parent and subsidiary line by line, 100%, even if the parent owns less.
- Replace the investment with goodwill; show the NCI in equity.
- Cancel intra-group balances and remove unrealised profit.